National Economics University

Multilateral Investment System and Multinational Enterprises

Describe your understanding of the European Union (EU). Analyze the role and influence of the EU on the integration and linkage of the region, the world and Vietnam.



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CLASS Investment Economics 65

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Student presentation by Group 4, National Economics University. Not an official publication of the European Union.

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Introduction

This report addresses the topic: describe your understanding of the European Union (EU) and analyze the role and influence of the EU on the integration and linkage of the region, the world and Vietnam.

The European Union represents one of the most advanced examples of regional economic integration. What began primarily as an initiative to promote economic cooperation among European countries gradually developed into a highly institutionalized system involving a single market, common policies, a common currency for many members, and supranational institutions.

Chapter 1 presents the theoretical basis of regional economic integration and an overview of the EU. Chapter 2 analyzes the EU's role and influence on regional and global integration. Chapter 3 examines the EU's influence on Vietnam, with the EVFTA and EVIPA as key channels of influence.



Chapter 1

Theoretical basis and overview of the European Union

1.1 Theoretical basis of regional economic integration

1.2 Overview of the European Union

1.1.1

Concept of international/regional economic integration

- **International economic integration** refers to the process through which countries increasingly reduce barriers to the movement of goods, services, capital, people, and, in some cases, economic policies across national borders.
- **Regional economic integration**: neighboring or geographically connected countries remove economic barriers and coordinate their policies in order to create a more integrated regional market.
- The primary objective is to increase economic efficiency, expand market access, promote trade and investment, and enhance the competitiveness of participating economies.
- Regional integration can also contribute to broader political objectives, such as maintaining peace, strengthening political stability, and increasing the collective bargaining power of member countries.

Costs and challenges

Greater market openness may expose domestic firms to stronger competition from foreign enterprises. Workers may face adjustment costs as production shifts between countries, and deeper integration may require governments to transfer certain policy responsibilities to regional institutions.

1.1.1 · Supplement

Foundational theories of economic integration

VINER (1950)

Trade creation and trade diversion

Trade creation occurs when a preferential agreement shifts purchases from higher-cost domestic production to lower-cost producers in a partner country. Trade diversion occurs when imports shift from a lower-cost non-member to a higher-cost member because of the preferential tariff. The welfare effect of an integration agreement depends on which effect dominates.

BALASSA (1961)

Stages of economic integration

Integration is described as a sequence of stages of increasing depth: free trade area, customs union, common market, economic union and complete economic integration. Each stage removes further barriers and requires more policy coordination among members.

Source: *Viner (1950); Balassa (1961).*

1.1.2

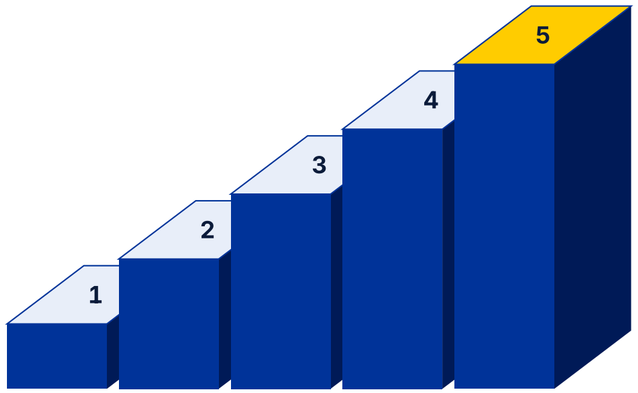
Levels of regional economic integration

Political union can be considered an even deeper form of integration, although it is rarely achieved in practice. These stages should not necessarily be understood as a rigid sequence that every regional organization must follow.

VISUAL · SECTION 1.1.2 · SCHEMATIC

Each level of integration builds on the one below

Schematic: block heights show order only, not a measured quantity. Select a level to read its description.



1 Free Trade Area

2 Customs Union

3 Common Market

4 Economic Union

5 Economic and Monetary Union

5. Economic and Monetary Union

Members may adopt a common currency managed by a common central bank. The euro area is the most prominent contemporary example.

Source: *Compiled by the authors from the data in Section 1.1.2.*

1

Free Trade Area

Members eliminate or reduce tariffs on goods traded among themselves; each member retains its own trade policy toward non-member countries.

2

Customs Union

Establishes a common external tariff toward non-member countries.

3

Common Market

Restrictions on the movement of capital, labor, and services are substantially reduced.

4

Economic Union

Members may coordinate policies concerning taxation, competition, government spending and employment.

5

Economic and Monetary Union

Members may adopt a common currency managed by a common central bank. The euro area is the most prominent contemporary example.

1.1.3

The EU as a Model of Deep Regional Integration

The EU should not be understood simply as a trade bloc. It represents a multidimensional form of regional integration combining economic integration, legal cooperation, institutional governance, political coordination, and external relations.

Single European Market

Based on the free movement of goods, services, capital, and people.

Common policies

Trade, agriculture, competition, regional development, environmental protection, and consumer protection.

Economic and Monetary Union

Many member states have adopted the euro; monetary policy for the euro area is conducted by the European Central Bank.

Supranational institutional structure

The European Commission, the European Parliament, and the Court of Justice of the European Union exercise powers at the EU level.

External influence

EU rules and standards can influence companies and countries outside its borders, the "Brussels Effect".

1.2.1

Formation and development process

TABLE 1. Key Milestones in the Historical Development of the European Union

1950 **Schuman Declaration** Pooling of French and German coal and steel production	**1951–1952** **European Coal and Steel Community** The first supranational European community	**1957–1958** **Treaties of Rome: EEC and Euratom** Integration extended to broader economic cooperation and a common market	**1965–1967** **Merger Treaty** A single Commission and Council for the ECSC, EEC, and Euratom
1973 **First enlargement** Denmark, Ireland, and the United Kingdom join	**1979** **First direct European Parliament elections** Citizens directly elect members of the European Parliament	**1981** **Greece joins** The tenth member of the European Communities	**1986** **Spain and Portugal join** The Communities expand to 12 members
1986-1987 **Single European Act** Legal basis for completing the Single Market	**1992–1993** **Maastricht Treaty** Creation of the EU; foundations for Economic and Monetary Union	**1993** **Single Market launched** Based on the four freedoms	**1995** **Austria, Finland and Sweden join** EU membership increases to 15

1999
Euro introduced
For accounting and financial transactions

2002
Euro banknotes and coins
Euro cash enters circulation in 12 countries

2004
Major EU enlargement
Ten countries, mainly from Central and Eastern Europe

2007
Bulgaria and Romania join
EU membership expands to 27 countries

2009
Treaty of Lisbon enters into force
Reform of EU institutions and decision-making mechanisms

2013
Croatia joins the EU
The 28th member, the final accession before Brexit

2016
UK referendum on EU membership
A majority of UK voters vote to leave the EU

2020
Brexit
The UK leaves on 31 January 2020; the EU operates with 27 member states

2020–present
A more resilient and strategic EU
Economic resilience, climate change, digital transformation, energy security

Source: *European Union, European Parliament, European Council, and European Central Bank materials.*

VISUAL · SECTION 1.2.1

Enlargement milestones run through the whole history of integration

Milestones from Table 1; spacing is by order, not to scale. Select a milestone to read it.

1950 Schuman Declaration

1951–1952 European Coal and Steel Community

1957–1958 Treaties of Rome: EEC and Euratom

1965–1967 Merger Treaty

1973 First enlargement

1979 First direct European Parliament elections

1981 Greece joins

1986 Spain and Portugal join

1986-1987 Single European Act

1992–1993 Maastricht Treaty

1993 Single Market launched

1995 Austria, Finland and Sweden join

1999 Euro introduced

2002 Euro banknotes and coins

2004 Major EU enlargement

2007 Bulgaria and Romania join

2009 Treaty of Lisbon enters into force

2013 Croatia joins the EU

2016 UK referendum on EU membership

2020 Brexit

2020–present A more resilient and strategic EU

1950

Schuman Declaration

Pooling of French and German coal and steel production

☆ Enlargement (members join) ☆ Brexit (a member leaves) • Other milestone

Source: *European Union, European Parliament, European Council, and European Central Bank materials.*

1.2.2

Institutional structure

GENERAL INTERESTS OF THE EU

European Commission

Proposes legislation, implements EU policies, manages the EU budget, and ensures that EU law is properly applied.

EU CITIZENS

European Parliament

Elected by citizens; participates in the legislative process, approves the budget together with the Council, and exercises democratic oversight.

GOVERNMENTS OF THE MEMBER STATES

Council of the European Union

National ministers meet depending on the policy area; adopts EU legislation together with the European Parliament.

HEADS OF STATE OR GOVERNMENT

European Council

Defines the Union's overall political direction and priorities; generally does not adopt ordinary legislation.

EU LAW

Court of Justice of the European Union

Ensures that EU law is interpreted and applied consistently across member states.

EURO AREA

European Central Bank

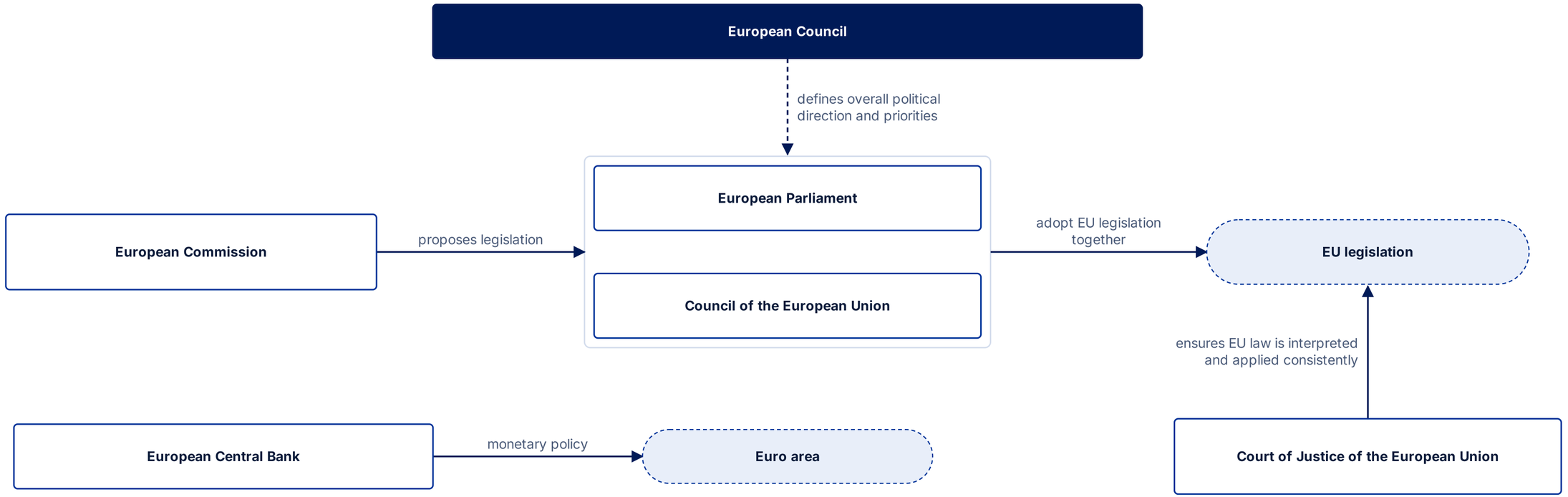
Responsible for monetary policy in the euro area; its primary objective is to maintain price stability.

> EU decision-making involves a complex interaction between supranational and intergovernmental elements.

VISUAL · SECTION 1.2.2 · SCHEMATIC

The Commission proposes; the Parliament and the Council adopt

Schematic: only the relations stated in the text of Section 1.2.2 are drawn.



Source: *Compiled by the authors from the data in Section 1.2.2.*

1.2.3

Objectives, Principles and Fundamental Values

OBJECTIVE

Economic

An internal market in which economic barriers between member states are minimized; sustainable economic growth, employment, competitiveness, social and territorial cohesion.

OBJECTIVE

Political

Maintaining peace and stability; cooperation in foreign policy, security, justice, and other areas.

VALUES

Fundamental values

Respect for human dignity, freedom, democracy, equality, the rule of law, and human rights.

PRINCIPLE

Subsidiarity

Decisions are taken at the EU level only when Union action can achieve objectives more effectively than action at the national, regional, or local level.

PRINCIPLE

Proportionality

EU action should not go beyond what is necessary to achieve the objectives established by the treaties.

PRINCIPLE

Solidarity

Financial and regional policies are designed to reduce disparities and support less-developed regions.

1.2.4

Core Mechanisms of European Integration

The European Single Market

- Free movement of goods, services, capital, and people
- Common product standards reduce transaction costs

Common Policies

- Common Agricultural Policy (CAP)
- Competition policy: cartels, abuse of dominant positions, state aid
- Regional and cohesion policies; environmental and climate policies

Economic and Monetary Union

- The euro eliminates exchange-rate uncertainty and increases price transparency
- Euro-area countries cannot independently conduct national monetary policy

Common Trade Policy

- The EU negotiates many trade agreements collectively
- The size of the integrated market strengthens its bargaining position

Supranational Governance

- EU-level rules can be legally binding within member states
- A political debate concerning national sovereignty



Chapter 2

The EU's role and influence on regional and global integration

2.1 Role and influence in European regional integration

2.2 Role and influence in global economic integration

2.3 Role and influence in global governance and other regions

2.4 Assessment: strengths, limitations and future prospect

2.1.1

Deepening integration

- Using the stages set out by Balassa (1961): a customs union (completed in 1968), a single market (in place from 1993), and an economic and monetary union.
- The Schengen area removed most internal border checks; the Treaty of Lisbon (in force since 2009) gave the Union a single legal personality, a permanent President of the European Council and a High Representative for foreign policy.
- "Failing forward" (Jones et al., 2016): the euro crisis of 2010–2012 produced the European Stability Mechanism and the banking union; the COVID-19 shock produced NextGenerationEU, financed by joint EU borrowing.
- Cohesion policy transfers funds to poorer regions, and it has helped lower-income members catch up.

21 of 27

member states use the euro as official currency

EUR 800 bn+

NextGenerationEU in current prices (EUR 750 billion in 2018 prices)

Source: *Balassa (1961); European Union (2026); Jones et al. (2016); European Commission (n.d.-e).*

VISUAL · SECTION 2.1.1

21 of 27 member states use the euro as official currency

One star = one member state. Stars are not linked to particular countries.



☆ 21 use the euro ☆ 6 do not use the euro (derived)

- 6 = 27 − 21 (derived).

Source: *Balassa (1961); European Union (2026); Jones et al. (2016); European Commission (n.d.-e).*

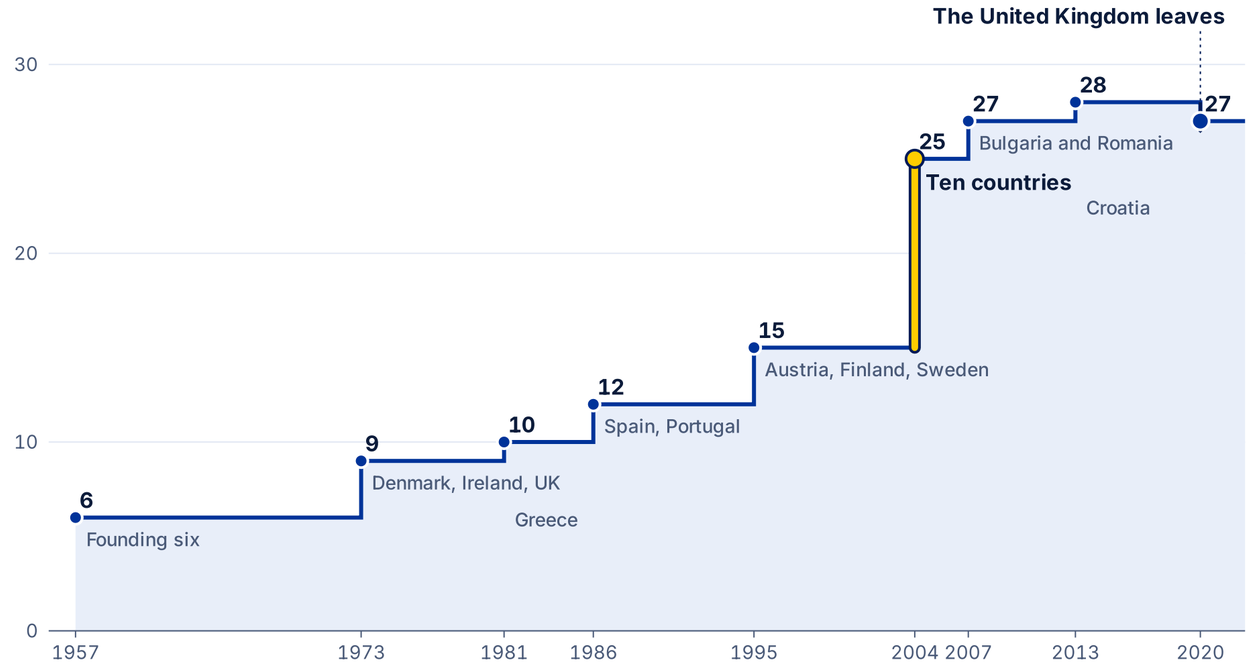
2.1.2a

Enlargement and Neighborhood Policy

- Enlargement is the EU's most effective foreign policy tool, in the sense that candidates change their own laws and institutions in order to join.
- The Copenhagen criteria of 1993 require stable democratic institutions, a functioning market economy and the capacity to take on the EU's body of law.
- Schimmelfennig and Sedelmeier (2004): "governance by conditionality"; the prospect of membership is the reward, and rule adoption is the price.
- The 2004 enlargement, which brought in ten countries, mostly from Central and Eastern Europe, is the clearest example.

FIGURE 2.1. **Number of EU members after each enlargement (including the 2020 UK withdrawal)**

Number of member states. Wave notes from Table 2.1.



Source: *Compiled by the authors from the European Union (n.d.).*

2.1.2b

Enlargement and Neighborhood Policy

TABLE 2.1. **Enlargement waves and current candidates**

STAGE	COUNTRIES / STATUS
1957	Founding six: Belgium, France, Germany, Italy, Luxembourg, Netherlands
1973 – 1986	Denmark, Ireland, UK (1973); Greece (1981); Spain, Portugal (1986)
1995	Austria, Finland, Sweden
2004 – 2013	Ten countries in 2004; Bulgaria and Romania in 2007; Croatia in 2013
2020	The United Kingdom leaves; the EU has 27 members
Candidates (2026)	Albania, Bosnia and Herzegovina, Georgia, Moldova, Montenegro, North Macedonia, Serbia, Türkiye, Ukraine; Kosovo is a potential candidate. Negotiations were opened with Ukraine and Moldova in June 2024.

Source: *European Union (n.d.); European Commission (n.d.-b).*

2.1.2c

Enlargement and Neighborhood Policy

THE CURRENT ROUND

Shaped by security more than by economics

- Ukraine and Moldova applied after Russia's full-scale invasion in 2022 and received candidate status in June 2022
- The Commission's 2025 Enlargement Package, adopted on 4 November 2025, describes enlargement as a priority of the Union
- Progress depends on reform in the candidates and on unanimity among existing members
- Georgia's candidate status, granted in 2023: the incentive works only when the government wants to meet the conditions

LAVENEX (2004): "EXTERNAL GOVERNANCE"

European Neighbourhood Policy

- Launched in 2004, with the Eastern Partnership (2009) and the Union for the Mediterranean (2008) as regional tracks
- The EU extends parts of its single-market rules to its neighbours without offering them membership
- Mixed results: Moldova and Ukraine moved closer to the Union, while others in the southern neighbourhood changed little
- In 2022 the EU also created the European Political Community

Source: *European Commission (n.d.-b); Lavenex (2004).*

2.1.3

Challenges to integration

1

Euro crisis

A common currency without a common fiscal policy leaves weaker economies exposed; a lasting north–south divide over solidarity.

2

Migration 2015–2016

Member states split over burden sharing; pressure on Schengen.

3

Brexit

The UK referendum of 2016 and its departure on 31 January 2020 showed that membership is reversible.

4

Rule of law

Disputes in Hungary and Poland led to Article 7 procedures and a mechanism that links EU funds to respect for the rule of law.

Competitiveness

The 2022 energy crisis and the widening gap with the United States and China. Draghi (2024) estimates that the EU needs to invest EUR 750–800 billion a year, equal to 4.4–4.7% of its GDP in 2023; Letta (2024) argues for completing the single market in services, energy and capital.

VISUAL · SECTION 2.1.3

Draghi (2024): the EU needs to invest EUR 750–800 billion a year

Ranges as stated; no single point estimate is chosen.



Source: *Draghi (2024).*

Source: *Draghi (2024); Letta (2024).*

2.2.1a

The EU as a Global Trade Power

15.8%
of world trade in goods and services combined (2024) (Council of the European Union, 2026c)

40+
agreements in place with about 80 partners

EUR 18.8 trillion
value of the EU economy (2025)

30 million+
jobs in the EU depend on exports

- Under the common commercial policy (Article 207 TFEU), the Commission negotiates trade agreements on behalf of all members, and tariffs are set at Union level.
- A "conflicted trade power" (Meunier and Nicolaïdis, 2006); "Market Power Europe" (Damro, 2012).
- The EU prefers deals with regions and groups: the Mercosur agreement is a bloc-to-bloc arrangement.
- Trade policy is mixed with strategy: diversification away from the United States and China after the tariff increases of 2025; trade defence tools such as the anti-dumping duties on Chinese pea protein announced in September 2026.

Source: *Council of the European Union (2026c); Brussels Times (2026), reporting Eurostat; Meunier and Nicolaïdis (2006); Damro (2012); European Commission (n.d.-f).*

2.2.1b

The EU as a Global Trade Power

TABLE 2.2. **Selected EU trade agreements and their status**

PARTNER	STATUS (AS OF OCTOBER 2026)	WHY IT MATTERS
Japan	In force since 1 February 2019 (EU–Japan Economic Partnership Agreement)	Large developed-market partner; sets rules on non-tariff barriers
Vietnam	EVFTA in force since 1 August 2020; the investment protection agreement (EVIPA) still awaits ratification by all member states	First FTA with a lower-middle-income ASEAN country
Mercosur	Political agreement 6 December 2024; signed 17 January 2026; interim trade agreement provisionally applied from 1 May 2026; the wider partnership agreement still awaits ratification	Links two regional blocs; sensitive for agriculture
India	Negotiations concluded 27 January 2026; presented to the Council for signature and conclusion on 11 September 2026	Described by the Commission as the largest deal either side has concluded
Philippines	Substantial agreement on an FTA announced on 22 September 2026	Extends the network in Southeast Asia

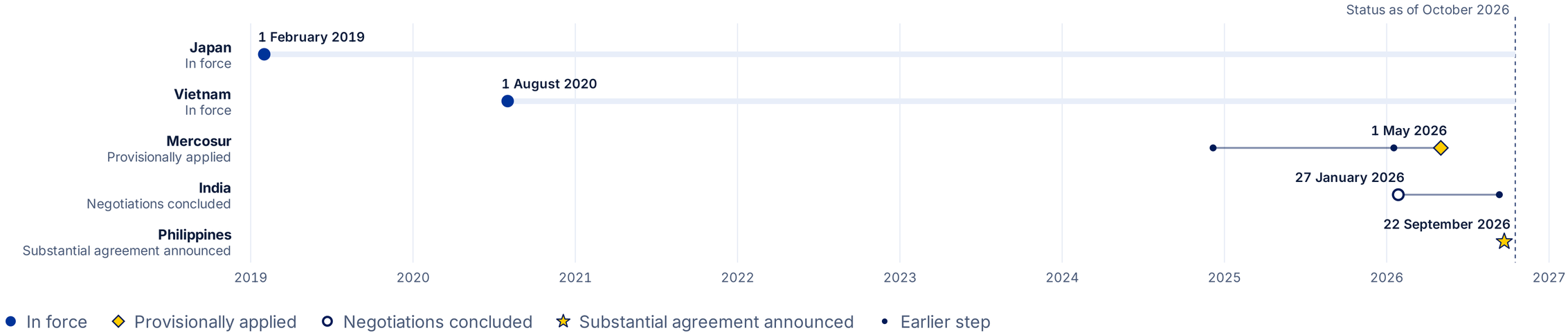
Source: *European Commission (n.d.-c, n.d.-d, n.d.-f).*

VISUAL · SECTION 2.2.1

The EU's trade network keeps widening, with agreements at every stage

Dates from Table 2.2 (status as of October 2026). Shape and label show the latest status.

The EU has **40+** agreements in place with **about 80** partners (Section 2.2.1).



Source: *European Commission (n.d.-c, n.d.-d, n.d.-f). Agreement count as stated in Section 2.2.1.*

2.2.2

Regulatory Power

Bradford (2020) calls this the "Brussels Effect": firms that want to sell in the EU must meet its standards, and many of them apply the same standards everywhere.

DE FACTO EFFECT

Firms apply EU standards everywhere

It is cheaper than running separate production lines.

→

DE JURE EFFECT

Governments copy the rules

So that their exporters meet EU requirements at home.

→

FIVE CONDITIONS (BRADFORD, 2020)

When the effect is strongest

A large market, strong regulatory capacity, a preference for strict rules, targets that cannot easily leave the market, and products that are hard to divide by jurisdiction.

GDPR

In application since May 2018; a reference point for privacy laws in many countries.

REACH and product standards

Rules on chemicals, food safety and product standards work in the same way.

Digital and AI regulation

Digital Markets Act, Digital Services Act and AI Act, which entered into force in 2024.

CBAM

Definitive regime from 1 January 2026: importers of cement, iron and steel, aluminium, fertilisers, electricity and hydrogen must buy certificates.

Two sides

For the EU it is a low-cost way to spread its values. For exporters in developing countries it can be a burden, since compliance requires technology, testing and finance that small firms often lack.

On 19 November 2025 the Commission proposed a Digital Omnibus that would delay the AI Act's rules for high-risk systems until December 2027 and simplify parts of the GDPR (Akin Gump, 2025).

Source: *Bradford (2020); European Commission (n.d.-a); Akin Gump (2025).*

2.2.3

Development cooperation

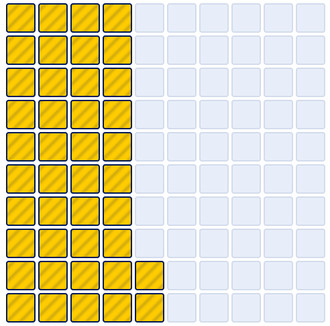
USD 88.7 billion

given in 2024 by the EU countries in the OECD's Development Assistance Committee: 42% of global assistance of USD 212 billion, 8.6% less than in 2023

VISUAL · SECTION 2.2.3 (A)

EU countries in the DAC gave 42% of global development assistance in 2024

100 squares = global assistance of USD 212 billion (2024).



42%

USD 88.7 billion from EU countries in the DAC of global assistance of **USD 212 billion**

8.6% less than in 2023

EU countries in the DAC Rest of global assistance

Source: *Finnish Government (2025); European Commission (2026b).*

LAUNCHED ON 1 DECEMBER 2021

Global Gateway

- Target of mobilising up to EUR 300 billion
- Team Europe had mobilised more than EUR 306 billion for over 250 projects by 2026, including an Africa–Europe Investment Package of around EUR 150 billion
- Widely seen as a response to China's Belt and Road Initiative

VISUAL · SECTION 2.2.3 (B)

Global Gateway mobilisation has passed its EUR 300 billion target

EUR billion. An open bar end means "more than".



Mobilised (open end: more than) Target

Source: *Finnish Government (2025); European Commission (2026b).*

- NDICI–Global Europe: the main funding instrument for 2021–2027.
- Everything But Arms: least-developed countries can export almost everything to the EU free of duty and quota.
- Generalised Scheme of Preferences: lower tariffs in return for commitments on labour and environmental conventions.

CRITICS

Two points

- The Global Gateway counts private and public financing that would have occurred anyway
- Development cooperation increasingly serves EU interests: migration management, critical raw materials and energy supply

Source: *Finnish Government (2025); European Commission (2026b).*

2.3.1

Climate Leadership and Sustainability

55%
reduction of net greenhouse-gas emissions by at least 55% by 2030 compared with 1990 (European Climate Law)

90%
net reduction by 2040: 85% domestic and up to 5% international carbon credits (March 2026)

2050
climate neutrality

- The EU launched the first large carbon market, the Emissions Trading System, in 2005, and played a central role in bringing about the Paris Agreement of 2015.
- Influence works through example and negotiation, market power (the Emissions Trading System and CBAM), and finance and standards.

Limits

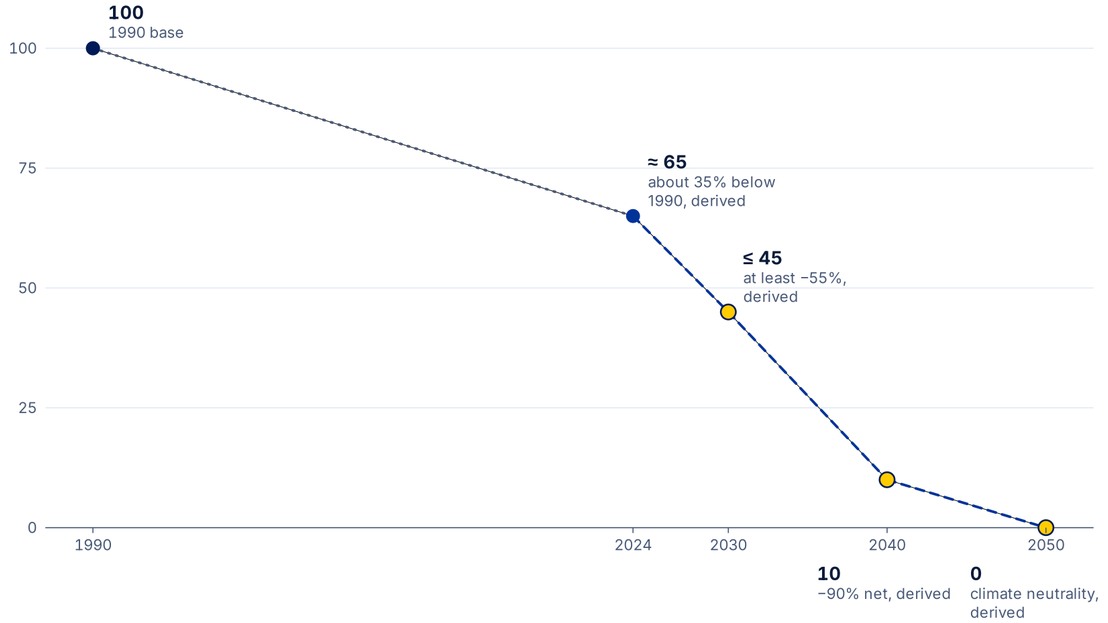
The EU's share of global greenhouse-gas emissions fell from 6.1% in 2023 to 5.9% in 2024, and its emissions were about 35% below 1990 levels, so its goals cannot be reached without larger emitters.

Source: *European Commission (2026a); European Commission Joint Research Centre (2025).*

VISUAL · SECTION 2.3.1

EU climate targets step down from 1990 levels to climate neutrality in 2050

Index, net greenhouse-gas emissions, 1990 = 100.



- Targets, not projections; straight lines are schematic.
- Derived: 2030 = 100 − 55 (at least 55% reduction, so at most 45); 2040 = 100 − 90 (90% net reduction: 85% domestic and up to 5% international carbon credits); 2050 = 0 (climate neutrality); latest ≈ 65 = 100 − about 35%.
- The latest level is placed at 2024, the year of the emissions-share figure in Section 2.3.1.

Source: *European Commission (2026a); European Commission Joint Research Centre (2025).*

2.3.2

Security and External Action

BULL (1982); MANNERS (2002)

"Civilian power" and "normative power"

- The Common Foreign and Security Policy is decided mostly by unanimity
- The High Representative leads the European External Action Service
- 22 CSDP missions and operations (13 civilian, 8 military, 1 civilian-military); more than 40 launched since 2003 (Council of the European Union, 2026a)

SINCE 2022

Sanctions and defence

- By July 2026 the Council had adopted 21 packages against Russia, the latest on 23 July 2026
- About EUR 210 billion in Russian central bank assets immobilised in the EU
- European Peace Facility; Strategic Compass (2022); SAFE loan instrument of EUR 150 billion, adopted on 27 May 2025

LIMITS

Not a military power

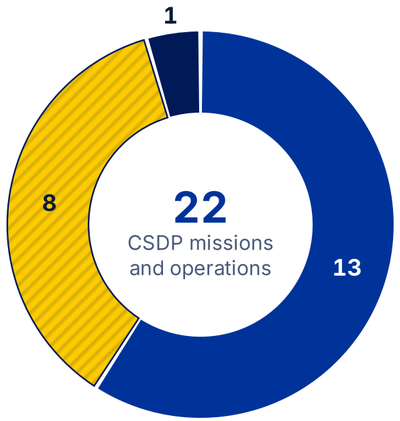
- NATO remains the core of collective defence for most members
- Defence budgets and procurement remain national
- Unanimity can slow decisions
- "Civilian power" or "soft imperialism" (Hettne and Söderbaum, 2005)

Source: *Bull (1982); Manners (2002); Council of the European Union (2025, 2026a, 2026b); Hettne and Söderbaum (2005).*

VISUAL · SECTION 2.3.2

Most CSDP missions are civilian; since 2022 the EU has added sanctions and defence finance

Missions and operations: count. Money: EUR billion.



21
sanctions packages against Russia, by July 2026

≈ EUR 210 bn
Russian central bank assets immobilised in the EU (about EUR 210 billion)

EUR 150 bn
SAFE loan instrument, adopted on 27 May 2025

Source: *Council of the European Union (2025, 2026a, 2026b).*

2.3.3

The EU as a Model for Other Regional Organizations

- Börzel and Risse (2012) separate three mechanisms of diffusion: active promotion through funding and agreements, learning, and borrowing institutional forms because they carry legitimacy.
- The African Union (2002), whose structure includes a commission, an assembly and a court, borrowed visibly from European forms.
- Mercosur (1991) set a customs union as a goal; its Parliament and dispute-settlement mechanisms follow European ideas.
- The EU prefers to sign agreements with regional blocs where it can, described by Hettne and Söderbaum (2005) as "interregionalism".
- ASEAN built an Economic Community in 2015 on a different philosophy: consensus, non-interference and no supranational court.

> The EU exports ideas and practices more successfully than its institutional design (Börzel and Risse, 2012).

Source: *Börzel and Risse (2012); Hettne and Söderbaum (2005).*

2.4.1

Strengths and Limitations

TABLE 2.3. **Strengths and limitations of the EU's role in integration**

AREA	STRENGTHS	LIMITATIONS
European integration	Single market, euro, Schengen; ability to repair gaps after crises; cohesion policy	Uneven participation; democratic-deficit and Euroscepticism; Brexit shows membership is reversible
Enlargement and neighbourhood	Conditionality changed the 2004 entrants; candidate list is long and includes Ukraine and Moldova	Unanimity and enlargement fatigue; weak leverage over governments that do not want to reform
Trade	Single negotiating voice; 15.8% of world trade in goods and services combined (2024) (Council of the European Union, 2026c); widening network (Japan, Vietnam, Mercosur, India)	Slow ratification; agricultural and national interests; exposure to US and Chinese trade pressures
Regulation	Brussels Effect in data, chemicals, AI and carbon	Compliance burden on exporters; recent moves to simplify rules weaken the signal
Development	Large aid and preferences; Global Gateway links finance and strategy	Financing partly repackaged; aid increasingly tied to EU interests
Climate	Legally binding 2030, 2040 and 2050 targets; carbon market; CBAM	Small share of global emissions; political pressure over costs
Security	Sanctions, missions and growing defence funding	Dependence on NATO; unanimity in foreign policy; fragmented defence markets

> The EU's strengths are structural (a large market and a body of law), while its limitations are political (shared decision-making among 27 governments).

Source: *Compiled by the authors from the sources cited in Sections 2.1 to 2.3.*

2.4.2

Future Prospects

1

Institutional

Welcoming Ukraine, Moldova and the Western Balkans would require rethinking decision rules, the budget and agricultural and cohesion policies.

2

Competitiveness

Following Draghi (2024) and Letta (2024): reduce fragmentation of the single market and raise investment in technology, energy and defence.

3

Strategic autonomy

Trade diversification through agreements with Mercosur, India and Southeast Asian partners; measures on supply chains and critical raw materials.

4

Green ambition and cost

The 2040 climate target and CBAM define the European line; the political space to maintain them depends on whether the transition raises growth.

> For the rest of the world, including Vietnam, the EU will probably remain a major source of market access, capital and rules, but it will ask more in return: stricter environmental and labour standards, supply-chain due diligence and political alignment on some strategic issues.

Source: *Draghi (2024); Letta (2024).*



Chapter 3

The EU's influence on Vietnam

3.1 Overview of Vietnam–EU relations **3.2** The EVFTA and EVIPA as Key Channels of Influence

3.3 EU's Broader Influence on Vietnam's Development

3.4 Opportunities, challenges and policy recommendations

3.1.1

Milestones

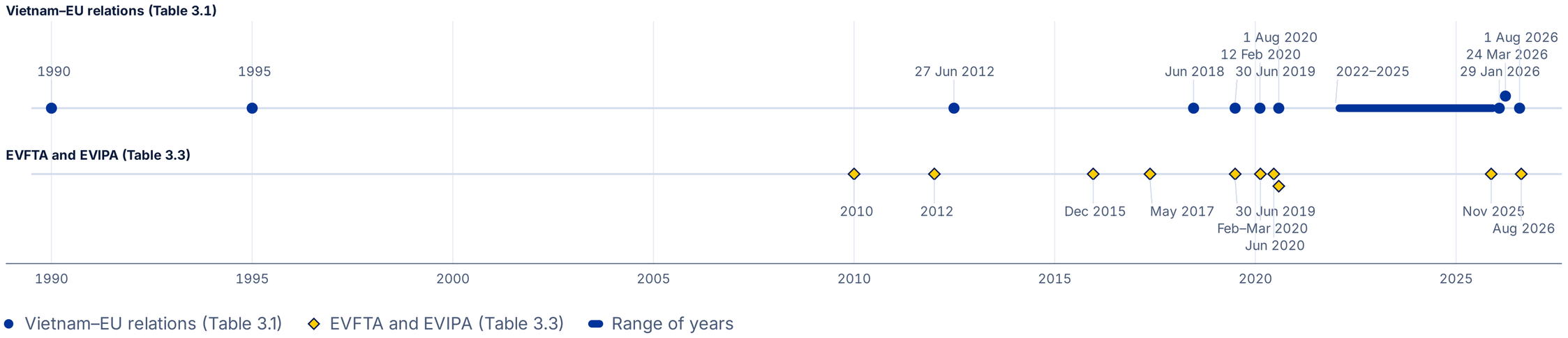
TABLE 3.1 Key milestones in Vietnam–EU relations

1990 Diplomatic relations established	**1995** Framework cooperation arrangements	**27 Jun 2012** Partnership and Cooperation Agreement signed in Brussels	**Jun 2018** Final EVFTA text agreed after a lengthy legal review
30 Jun 2019 EVFTA and EVIPA signed in Hanoi	**12 Feb 2020** European Parliament approves EVFTA and EVIPA	**1 Aug 2020** EVFTA enters into force	**2022–2025** JETP launched with an initial US$15.5 billion pledge; first flagship projects announced in 2025
29 Jan 2026 Relations upgraded to a Comprehensive Strategic Partnership during European Council President António Costa's visit to Hanoi	**24 Mar 2026** EU announces more than €560 million in new Global Gateway commitments for Vietnam	**1 Aug 2026** EVFTA completed six years in force	

VISUAL · SECTIONS 3.1.1 AND 3.2.1

The EVFTA and EVIPA process runs alongside the deepening of Vietnam–EU relations

Time axis to scale; dates as given in Tables 3.1 and 3.3. Ranges are drawn as bars.



Source: *Compiled by the authors from the data in Sections 3.1.1 and 3.2.1.*

3.1.2a

Trade and investment status

US$68.3 bn
total Vietnam–EU trade, 2024

US$51.6 bn
Vietnam's exports to the EU, 2024

US$16.7 bn
Vietnam's imports from the EU, 2024

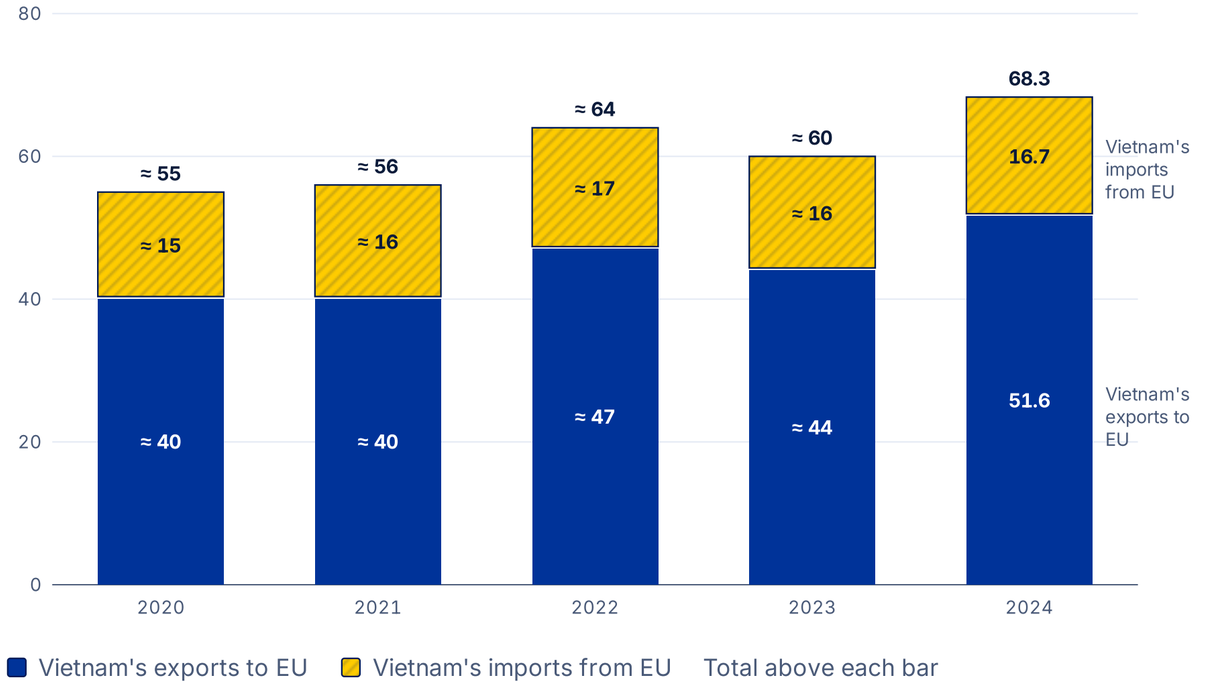
US$34.9 bn
Vietnam's trade surplus with the EU, 2024

2024 values. **Source:** *Ministry of Industry and Trade of Vietnam.*

Total bilateral trade increased from about US$55 billion in 2020 to more than US$68 billion in 2024. Although trade declined in 2023 compared with the previous year, it recovered strongly in 2024.

FIGURE 3.1 **Vietnam–EU Trade**

billion USD



- ≈ = approximate (2020–2023, read from the original chart). Totals above the bars are derived (exports + imports).

Values for 2020–2023 are approximate, read from the original chart; 2024 values (51.6 and 16.7) are from the Ministry of Industry and Trade of Vietnam. **Source:** *Vietnam Customs and Ministry of Industry and Trade of Vietnam.*

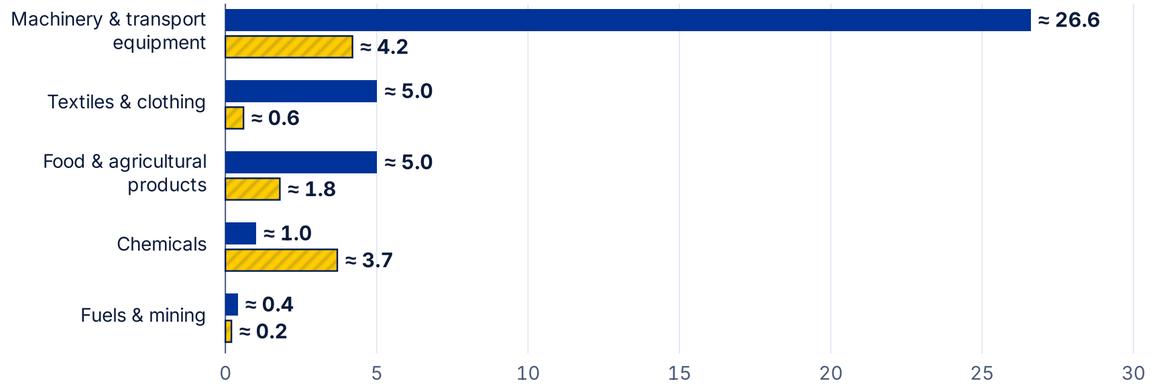
3.1.2b

Trade and investment status

- Vietnam's exports to the EU are concentrated in machinery and electrical equipment, textiles and footwear, furniture, and agricultural and food products.
- The EU supplies Vietnam with machinery and transport equipment, chemicals, pharmaceuticals, and other technologically intensive products.
- The structure reflects the different comparative advantages of the two sides.
- The concentration of exports in several major product groups means that Vietnam remains exposed to changes in European consumer demand and regulatory requirements.

FIGURE 3.2. **Major Product Groups in Vietnam-EU Trade in 2024**

Billion EUR. Values are approximate, read from the original chart.



– All values approximate (≈), read from the original chart.

Source: *European Commission and Eurostat.*

3.1.2c

Trade and investment status

TABLE 3.2. EU Investment in Vietnam in 2024

INDICATOR	VALUE
Number of EU investment projects	~2,450
Cumulative EU investment, end of 2022	>US$27.8 billion
Cumulative EU investment, 2024	≈US$30.6 billion
Share of investment in manufacturing	>60%
Major sectors	Manufacturing, energy, infrastructure, services
Major EU investors	Netherlands, France, Germany, Denmark, and others

Source: *European External Action Service (EEAS).*

CHANNELS

Contribution of European investment

Financial capital, advanced technologies, management practices, professional expertise and international quality standards.

CONSTRAINTS

Below its potential

Administrative procedures, regulatory transparency, infrastructure quality, availability of skilled labour, and the consistency of policy implementation.

3.2.1

Content and timeline

In Opinion 2/15 (May 2017), the Court of Justice of the EU ruled that investment protection with arbitration-style dispute settlement falls under shared competence. In response, the EU split the package into two instruments.

TRADE; EU-ONLY AGREEMENT

EVFTA: a "new-generation" agreement

- Trade in goods: tariff elimination, rules of origin, customs and trade facilitation, trade remedies, TBT and SPS measures
- Services and investment liberalisation
- Government procurement, competition policy, state-owned enterprises and intellectual property, including geographical indications
- Trade and Sustainable Development: core ILO conventions, environmental protection and climate action
- Institutional provisions and dispute settlement

INVESTMENT PROTECTION; REQUIRES RATIFICATION BY EVERY MEMBER STATE

EVIPA

- Fair and equitable treatment and protection against expropriation
- Four chapters, 92 articles and 13 annexes; designed to replace 21 existing bilateral investment agreements
- A court-style dispute settlement mechanism replaces traditional investor–state arbitration
- Poland became the 20th member state to ratify it in November 2025; the EVIPA is not yet in force

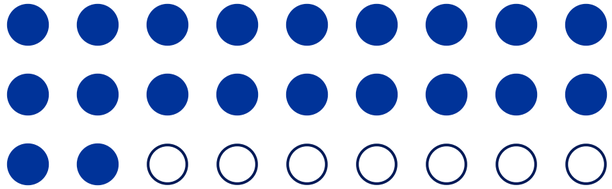
TABLE 3.3 Key milestones in the EVFTA and EVIPA

2010 Scoping exercise; decision to negotiate	**2012** Formal negotiations launched	**Dec 2015** Negotiations concluded in principle	**May 2017** CJEU Opinion 2/15; agreement split into EVFTA and EVIPA	**30 Jun 2019** EVFTA and EVIPA signed in Hanoi
Feb–Mar 2020 European Parliament consent; Council approval	**Jun 2020** Vietnam's National Assembly ratifies both agreements	**1 Aug 2020** EVFTA enters into force	**Nov 2025** Poland becomes the 20th member state to ratify the EVIPA	**Aug 2026** France submits its EVIPA ratification bill to Parliament

VISUAL · SECTION 3.2.1

20 member states had ratified the EVIPA by November 2025; it is not yet in force

One dot = one member state. Dots are not linked to particular countries.



● 20 have ratified (Poland the 20th, Nov 2025) ○ 7 not yet (derived)

- As reported, Nov 2025; not yet in force as of Oct 2026.
- 7 = 27 − 20 (derived).

Source: *Compiled by the authors from the data in Section 3.2.1.*

3.2.2

Impact on institutional reform

Legal and institutional reform

The implementation plan requires ministries and agencies to review existing regulations and make amendments in accordance with the agreement.

Transparency and predictability

Commitments on customs procedures, technical regulations, government procurement, services and investment.

Government procurement

Parts of the public procurement market opened to European suppliers, with more transparent procedures.

Consultation and coordination

A Trade Committee and specialized institutional structures monitor implementation and address trade-related problems.

EVIPA

Safeguards against discriminatory treatment and unlawful expropriation; a modernized investment dispute settlement mechanism.

3.2.3a

Impacts on trade and investment

TABLE 3.4 Changes in Vietnam-EU trade

INDICATOR	2019	2024	CHANGE
Total Vietnam–EU trade	US$49.8 bn	US$68.3 bn	+37.1%
Vietnam's exports to EU	US$35.8 bn	US$51.6 bn	+44.1%
Vietnam's trade surplus with EU	≈US$21.8 bn	US$34.9 bn	+60.1%

85.6%

of tariff lines (70.3% of Vietnam's export value) eliminated by the EU upon entry into force

99.2%

of tariff lines (99.7% of Vietnam's export value) scheduled to be eliminated after seven years

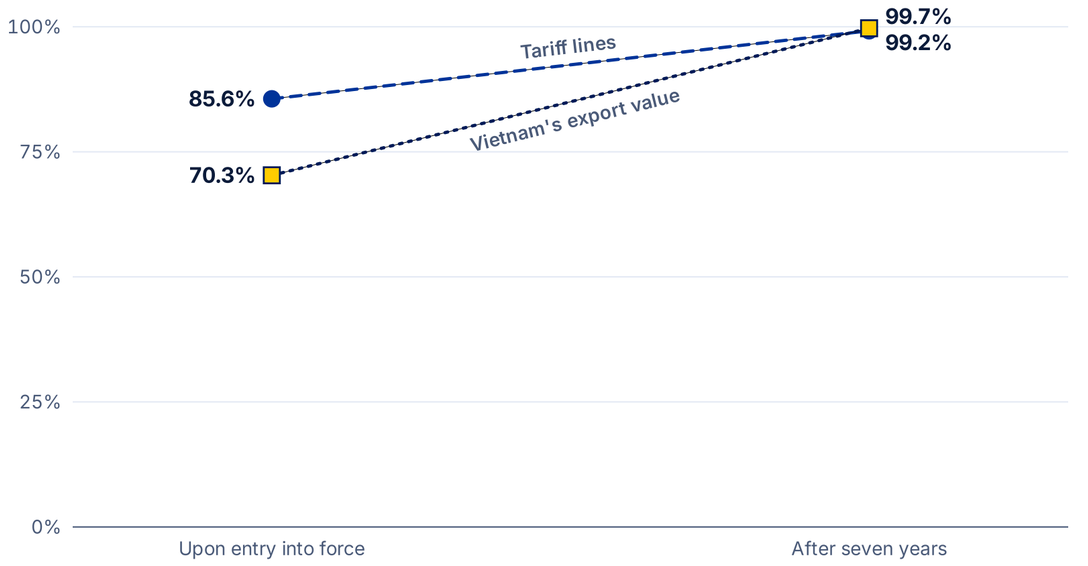
> The changes cannot be attributed entirely to the EVFTA, because trade flows were also affected by COVID-19, geopolitical tensions, global demand and other economic factors.

Source: *Ministry of Industry and Trade of Vietnam.*

VISUAL · SECTION 3.2.3 (A)

The EU removes most tariffs on Vietnamese goods at entry into force and almost all within seven years

Share eliminated by the EU, %.



Tariff lines Vietnam's export value

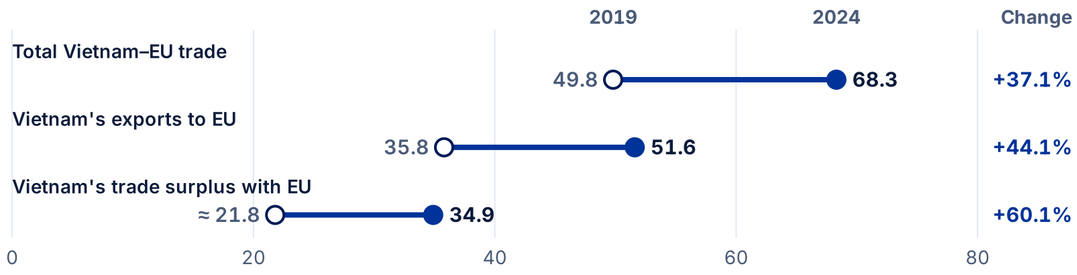
- Milestones, not annual data; dashed lines only connect the two milestones.

Source: *Ministry of Industry and Trade of Vietnam.*

VISUAL · SECTION 3.2.3 (B)

All three trade indicators rose from 2019 to 2024, the surplus fastest

US$ billion. Change as in Table 3.4.



2019 2024

- The 2019 surplus is approximate (≈), as in Table 3.4.

Source: *Ministry of Industry and Trade of Vietnam.*

3.2.3b

Impacts on trade and investment

TABLE 3.5 Changes in Vietnam-EU investment

INDICATOR	2019	2024	DEVELOPMENT
EU investment projects in Vietnam	>2,240	≈2,450	Continued expansion
EU cumulative registered investment	≈US$24.67 bn	≈US$30.6 bn	+≈US$5.9 bn
EU share of Vietnam's total FDI	≈7.6%	Still a relatively modest share	Limited compared with major Asian investors
Main investment orientation	Manufacturing, infrastructure, services	Manufacturing and higher-value activities	Gradual upgrading

No 2024 percentage is reported in the sources. The 2019 figure (about 7.6%) is from FIA/MPI; the 2024 assessment is from EEAS. The two sources may not be directly comparable.

EVIPA

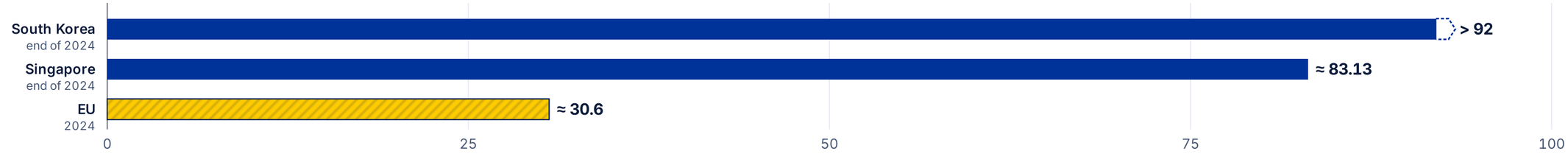
The impact of the EVIPA should currently be considered potential rather than fully realized, because the agreement has not yet entered into force at the EU level. At the end of 2024, South Korea had more than US$92 billion and Singapore about US$83.13 billion in cumulative registered investment in Vietnam.

Source: *Foreign Investment Agency/MPI and European External Action Service.*

VISUAL · SECTION 3.2.3 (C)

EU registered investment in Vietnam is far below that of South Korea and Singapore

Cumulative registered investment in Vietnam, US$ billion.



- Figures come from different sources; the comparison is indicative only (see the note under Table 3.5).
- An open bar end means "more than".

Source: *Foreign Investment Agency/MPI and European External Action Service.*

3.3

EU's Broader Influence on Vietnam's Development

European standards and regulatory requirements increasingly affect how Vietnamese businesses operate and access international markets.

3.3.1a

Standards, Sustainability and Regulatory Alignment

Chapter 13 of the EVFTA covers labour rights, environmental protection, climate change, sustainable management of natural resources and corporate social responsibility, with dialogue through Domestic Advisory Groups.

TABLE 3.6. **Major Areas of EU Standards and Regulatory Influence on Vietnam**

AREA	EU REQUIREMENTS/INFLUENCE	IMPLICATIONS FOR VIETNAM
Environmental standards	Higher requirements for environmental protection and resource management	Firms need to improve environmental management and production processes
Labour standards	Respect for fundamental labour rights and ILO standards	Greater attention to working conditions and workers' rights
Product quality and safety	Strict technical, health and safety requirements	Greater investment in quality control and certification
Traceability	Increasing importance of supply-chain transparency	Firms need better tracking of raw materials and production processes
Sustainable production	Greater emphasis on resource efficiency and low-carbon production	Incentives to adopt cleaner technologies

AREA	EU REQUIREMENTS/INFLUENCE	IMPLICATIONS FOR VIETNAM
Carbon and climate policy	Increasing role of carbon pricing and emissions reduction	Pressure to measure and reduce greenhouse-gas emissions
Circular economy	Promotion of resource efficiency, recycling and waste reduction	Encourages changes in production and consumption models

Source: *Compiled from EU–Vietnam cooperation documents and the EVFTA sustainable development framework.*

> CBAM: see Section 2.2.2.

3.3.1b

Standards, Sustainability and Regulatory Alignment

TABLE 3.7. Opportunities and Challenges from EU Standards for Vietnam

DIMENSION	OPPORTUNITIES	CHALLENGES
Export competitiveness	Better quality and access to demanding markets	Higher compliance costs
Technology	Incentives to adopt cleaner and more efficient technologies	High initial investment
Supply chains	Greater integration into European value chains	Stricter traceability requirements
Labour practices	Improvement in working conditions and labour standards	Higher compliance and monitoring costs
Environment	Stronger environmental management	Additional costs for emissions and waste control
Governance	Greater transparency and regulatory capacity	Need for stronger enforcement institutions

> The EU's influence on standards can be viewed as a form of regulatory alignment rather than complete regulatory harmonisation.

3.3.2a

Development Cooperation and Green Transition

Since 1990, the EU has provided grants and development assistance to Vietnam. In March 2026, the EU and Vietnam announced an investment package of more than €560 million for sustainable transport and clean energy.

TABLE 3.8. **Major EU Development Cooperation Channels in Vietnam**

COOPERATION CHANNEL	MAIN FOCUS	CONTRIBUTION TO VIETNAM
Development assistance	Poverty reduction, governance and sustainable development	Strengthens social and institutional capacity
Global Gateway	Sustainable infrastructure and connectivity	Mobilises public and private investment
JETP	Energy transition and decarbonisation	Supports renewable energy and power-sector reform
Technical assistance	Policy, regulatory and institutional capacity	Helps Vietnam implement international commitments
Climate cooperation	Emissions reduction and climate resilience	Supports Vietnam's net-zero pathway
Education and skills	Human capital and vocational training	Develops skills for green and digital industries

Source: *European External Action Service and European Commission.*

3.3.2b

Development Cooperation and Green Transition

JUST ENERGY TRANSITION PARTNERSHIP (JETP)

Projects under the JETP framework

- The 1,200 MW Bac Ai pumped-storage hydropower plant
- The expansion of the Tri An hydropower plant
- The Tra Vinh near-shore wind project

THREE INTERCONNECTED MECHANISMS

Financing, technology and institutional capacity building

Financial resources reduce capital constraints; technical cooperation strengthens policy design and implementation; cooperation with European institutions and firms facilitates access to technology.

TABLE 3.9. EU Support for Vietnam's Green Transition

AREA	MAIN EU-SUPPORTED DIRECTION	EXPECTED CONTRIBUTION
Renewable energy	Solar, wind and hydropower integration	Increase clean-energy capacity
Electricity grid	Grid development and flexibility	Improve integration of intermittent renewables
Energy efficiency	Policy and technical support	Reduce energy intensity
Sustainable transport	Railways, public transport and low-carbon mobility	Reduce transport emissions
Green finance	Blended finance and investment mobilisation	Increase capital for sustainable projects
Carbon markets	Carbon pricing and emissions trading cooperation	Create incentives for emissions reduction
Circular economy	Resource efficiency and waste management	Reduce resource use and pollution
Climate resilience	Climate adaptation and environmental protection	Reduce vulnerability to climate change

Source: *European Commission and EEAS.*

3.4.1

Opportunities

1. **Greater access to the European market and export diversification:** lower tariffs and clearer market-access conditions, particularly for textiles and garments, footwear, electronics, furniture, agricultural products and seafood.

2. **Higher-quality investment and technology:** advanced manufacturing, renewable energy, logistics, digital infrastructure, semiconductors, sustainable agriculture and the circular economy.

3. **Stronger support for Vietnam's green transition:** through the Just Energy Transition Partnership and Global Gateway.

4. **Improvements in institutional and regulatory quality:** transparency, regulatory predictability, market access and labour and environmental standards.

5. **Human-capital and technological development:** demand for skilled workers in advanced manufacturing, digital technology, renewable energy, environmental management, logistics and sustainable finance.

3.4.2

Challenges

1. **Increasing compliance costs for Vietnamese enterprises:** small and medium-sized enterprises often have limited financial resources, technological capacity and access to compliance services.

2. **Limited domestic capacity to capture high-value investment and technology:** weak supporting industries, limited research and development capacity and shortages of highly skilled labour.

3. **Increasing pressure for institutional and regulatory adjustment:** European regulations on climate, carbon emissions, digitalisation and supply-chain responsibility are continuously evolving.

4. **Financing and infrastructure constraints for the green transition:** renewable energy, electricity grids, energy storage, sustainable transport and climate-resilient infrastructure.

5. **Shortages of skilled human resources and innovation capacity:** gaps between the skills demanded by businesses and those provided by education and vocational training.

3.4.3

Recommendations

1

Complete the EVIPA and manage the surplus diplomatically

Continue parliamentary and diplomatic engagement with the remaining member states.

2

Operationalise carbon pricing and emissions data

Launch the pilot emissions trading exchange on schedule and build a national measuring, reporting and verification system.

3

Build traceability systems for EUDR and IUU compliance

Priorities include digitising production plots and geolocation data for EUDR-covered products such as coffee, rubber and timber (Thế Hải, 2026), and the full implementation of vessel monitoring, electronic traceability and enforcement measures to address the European Commission's IUU recommendations (Viet Nam News, 2026).

4

Raise EVFTA utilisation

Authorities should simplify customs and certificate-of-origin procedures, including electronic registration and self-certification of origin, clarify guidance on HS codes and customs valuation, and apply rules of origin consistently across agencies, as EuroCham has recommended (Kiều Mai, 2025; Báo Công Thương, 2025).

5

Make JETP and Global Gateway funds bankable

A pipeline of prepared grid and storage projects, with clear regulation (several rules are still in draft) and coordination among the JETP working groups and ministries, would improve the absorption of JETP and Global Gateway finance and attract co-investment (Climate Policy Initiative, 2024; European Investment Bank, 2025).

6

Attract higher-quality EU investment and stay predictable

Prioritising investors that transfer technology, innovate and work with domestic suppliers, and keeping the regulatory environment stable, would reinforce the benefits of EU FDI, whose scale remains modest compared with major Asian investors (OECD, n.d.; Vietnam News Agency, 2025).

7

For firms: invest in compliance and diversification

Map supply chains, measure product-level emissions, obtain certifications and gradually move into higher-value segments.

Source: *East Asia Forum (2026); S&P Global (2025); Thế Hải (2026); Viet Nam News (2026); Kiều Mai (2025); Báo Công Thương (2025); Climate Policy Initiative (2024); European Investment Bank (2025); OECD (n.d.); Vietnam News Agency (2025).*

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Thank you

Questions and answers

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Student presentation by Group 4, National Economics University. Not an official publication of the European Union.